

SENATE BILL 1045

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 5;
Title 6; Title 7; Title 13; Title 54 and Title 66,
relative to real property development.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 13, is amended by adding the following
as a new chapter:

13-31-101.

As used in this chapter, unless context provides otherwise:

(1) "Development property" means real property that is being built, improved
upon, or developed by a landowner, developer, or builder for the purposes of developing
a property, and applies only to:

(A) Residential developments under three hundred (300) single-
family homes; and

(B) Multi-family residences under five hundred (500) units;

(2) "Infrastructure" includes roads, bridges, highways, traffic lights, toll roads,
road signage, barricades, turn lanes, utility poles, electrical lines, internet cabling, and
entrances to a development property; and

(3) "Nonessential infrastructure":

(A) Means any infrastructure that is not required for the creation, ongoing
maintenance, and growth of a development property of a landowner, developer,
or builder; and

(B) Includes property that is not contiguous to the development property.

13-31-102.

A state, county, or municipal government shall not, in connection to a development property, require a landowner, developer, or builder to fund, build, or contribute to the development of:

(1) Nonessential infrastructure that is not contiguous or adjacent to a development property of a landowner, developer, or builder; or

(2) Nonessential infrastructure beyond the anticipated infrastructure needed for the development property as estimated at the start of the development of the development property. For purposes of this subdivision (2), development of a property constitutes any point from the initial planning stage through to the completion of the development property.

SECTION 2. This act does not repeal or modify any tax, property, zoning, or permitting laws or ordinance, nor any administrative authority granted to an administrative agency, nor any other applicable state, local, or federal laws.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it, and applies to contracts entered into, renewed, or amended on or after that date.